CAPITAL MARKETS

Bond Markets Are Financing Student Housing Again. Here Are the Terms.

Radnor's $147M Atlanta project closed via tax-exempt bonds, revealing how public debt is filling a gap private capital won't touch.

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A source-grounded Light Tower Insight. The complete note follows.

850 West End Avenue is a vacant lot on the edge of Morehouse and Spelman. By July 2026, it is also the site of a $147 million bet that the bond market will do what the bank market will not.

Radnor Property Group and Madrone Community Development Foundation reached financial close on July 1, selling $146.76 million in tax-exempt and taxable bonds issued by the Development Authority of Fulton County. The project will deliver 793 beds across 305 apartment-style units for students at the Atlanta University Center Consortium.

The headline is a student housing development. The capital story is something else: a developer used public-purpose debt to finance a project that private lenders, in this rate environment, would have priced at a spread that killed the underwriting.

Tax-exempt bonds are not new to student housing. What is new is the timing. In a period when regional banks have pulled back from construction lending and private credit funds are demanding double-digit yields on ground-up risk, the bond market offered a different math. The Development Authority of Fulton County issued the paper. Institutional buyers took it down. The developer got a fixed-rate, long-dated liability that does not need to be refinanced into a hostile market three years from now.

That is the structural advantage. A conventional construction loan on a 793-bed project in Atlanta would carry a floating rate tied to SOFR plus 300 to 400 basis points, with a three-year term and an extension option that is not guaranteed. The borrower would be refinancing into whatever the capital markets look like in 2029. The bond structure removes that refinancing risk entirely. The debt is placed. The maturity is long. The clock is not ticking.

The trade-off is complexity. Tax-exempt bond financing requires a qualified issuer, a public benefit purpose, and compliance with IRS rules on private use. Not every developer can clear that bar. Radnor and Madrone could, because the project serves students at AUCC institutions and the bonds were issued through a development authority with a clear public mission. The structure works when the use case is defensible and the issuer is credible.

What this deal reveals about the broader market is more interesting than the deal itself. Student housing has been one of the few multifamily subsectors where demand has held up through the rate cycle. Enrollment at AUCC schools has been stable. The West End corridor is a proven student housing market. But proving demand is not the same as proving financing. The bond market said yes because the project had a use case that fit the tax-exempt framework and a sponsor that could execute the compliance. Private lenders would have asked for more equity, a higher rate, and a shorter term.

The implication for other developers is straightforward. If you are building student housing on or near a qualified campus, the bond market is worth the compliance cost. If you are building market-rate multifamily in a suburban infill location, the bond market is not an option. The bifurcation is not just between asset classes. It is between projects that can access public-purpose capital and those that cannot.

The cast of parties in this deal reveals the mechanism. The Development Authority of Fulton County provided the issuance platform. Institutional bond buyers provided the capital. Radnor and Madrone provided the sponsorship and the development risk. The students and the universities provide the demand. Each party had a different clock. The issuer wanted a public benefit outcome. The bond buyers wanted a fixed-income asset with a credit story they could underwrite. The developer wanted a financing structure that did not require a future refinancing. All three clocks aligned because the project fit a narrow set of conditions.

What should a market participant test next? If you are a sponsor with a student housing project near a qualified institution, test whether your local development authority has the capacity and willingness to issue tax-exempt bonds. If you are a lender, watch whether this structure gets replicated in other markets and what it does to the pool of bank-financed deals. If you are an investor, ask whether the bond market is pricing student housing risk correctly or whether the tax-exempt subsidy is masking underwriting that would not clear in the private market.

The deal at 850 West End Avenue is not a signal that development financing is back. It is a signal that development financing has become a game of structural arbitrage. The projects that can access public-purpose debt will get built. The projects that cannot will wait for the banks to return. That is not a recovery. It is a sorting mechanism.

SOURCES

— Institutional Real Estate — https://irei.com/news/radnor-property-group-madrone-community-development-foundation-reach-financial-close-on-147m-combined-student-housing-development-in-atlanta/

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